

Company Number: 7160664

THE COMPANIES ACT 2006

PRIVATE COMPANY LIMITED BY SHARES

WRITTEN RESOLUTION

OF

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

Circulated on 11 March 2010

Pursuant to Chapter 2 of Part 13 of the Companies Act 2006, the directors of the Company propose that the resolution below is passed as a special resolution

SPECIAL RESOLUTION

"That, the Articles of Association circulated with this resolution be approved and adopted as the Articles of Association of the Company and that the one ordinary share of £1 which has been issued nil paid be and it is hereby converted into 10 "A" ordinary shares of 10p each having the rights stated in the Articles of Association"

AGREEMENT

Please read the notes at the end of this document before signifying your agreement to the Special Resolution

The undersigned, a person entitled to vote on the above resolution on 11 March 2010, hereby irrevocably agrees to the Special Resolution

Name & Address of Shareholder	Number of Ordinary Shares held	Signature and date
Nicholas Robin Kent	One Ordinary share of £1	Signature <i>N. Kent</i> Date <i>11 / 3</i> 2010

TUESDAY



PIP9GICF

PC5

16/03/2010

793

COMPANIES HOUSE

NOTES

- 1 If you agree to the Special Resolution, please indicate your agreement by signing and dating this document where indicated above and returning it to the Company using one of the following methods
 - **By Hand** delivering the signed copy to [NAME AND ADDRESS]
 - **Post** returning the signed copy by post to [NAME AND ADDRESS]
 - **[Fax** faxing the signed copy to [FAX NUMBER] marked "For the attention of [NAME]"]
 - **[E-mail** by attaching a scanned copy of the signed document to an e-mail and sending it to [E-MAIL ADDRESS] Please enter "Written resolutions dated [CIRCULATION DATE] March 2010" in the e-mail subject box]

If you do not agree to the Special Resolution, you do not need to do anything you will not be deemed to agree if you fail to reply
- 2 Once you have indicated your agreement to the Special Resolution, you may not revoke your agreement
- 3 Unless, by 1 April 2010, sufficient agreement has been received for the Special Resolution to pass, it will lapse If you agree to the Special Resolution, please ensure that your agreement reaches by this date
- 4 In the case of joint holders of shares, only the vote of the senior holder who votes will be counted by the Company Seniority is determined by the order in which the names of the joint holders appear in the register of members If in doubt, please contact [INSERT DETAILS] [the Company] or ensure that each joint holder signs and dates this document
- 5 If you are signing this document on behalf of a person under a power of attorney or other authority please send a copy of the relevant power of attorney or authority when returning this document

[Copy sent to auditors on [•] March 2010

Company number: 7160664

The Companies Act 2006

Private company limited by shares

BL draft 11 March (clean)

N. Kent

Articles of association

Of

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

11/2
Adopted by Special Resolution passed on [] March 2010
^

 **Blake
Lapthorn**

Watchmaker Court
33 St John's Lane
London
EC1M 4DB

Reference CJJ/561328-2

CONTENTS

1	Interpretation	1
2	Adoption of the Model Articles	5
3	Directors	5
4	Transactions or Other Arrangements with the Company	6
5	Directors' Interests	7
6	Directors' Remuneration and Expenses	9
7	Alternate Directors	9
8	Company Secretary	10
9	Issue of Shares	10
10	Further Issues of Shares Authority	11
11	Further Issues of Shares Pre-Emption	11
12	Class Rights	12
13	Lien and Forfeiture	15
14	Share Transfers - General	19
15	Permitted Transfers	20
16	Pre-Emption	20
17	Deceased shareholders	23
18	Compulsory Transfers Employees	24
19	Transfers – General Powers	25
20	Tag Along	26
21	Change of Control – Drag Along Right	27
22	Transfer Restriction Business and Assets	29
23	Transmission of Shares	29
24	Consolidation of Shares	29
25	Distributions and Calculation of Dividends	29
26	Proceedings at General Meetings	30

Company No: 7160664

THE COMPANIES ACT 2006

PRIVATE COMPANY LIMITED BY SHARES

ARTICLES OF ASSOCIATION

of

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED
(the Company)

Adopted by Special Resolution passed on 11th March 2010

1 INTERPRETATION

1 1 In these articles

A Ordinary Shares has the meaning given by article 10 3,

A Shareholder means a holder of A Ordinary Shares

alternate or alternate director has the meaning given in article 7 1,

Act means the Companies Act 2006,

appointor has the meaning given in article 7 1,

B Ordinary Shares has the meaning given by article 10 3,

B Shareholder means a holder of B Ordinary Shares

Business Day means any day (other than a Saturday) on which banks are open for business in the City of London,

call has the meaning given in article 13 9,

call notice has the meaning given in article 13 9,

CDDA means the Company Directors Disqualification Act 1986,

Companies Acts means the Companies Acts (as defined in section 2 of the Act), in so far as they apply to the Company,

Company's lien has the meaning given in article 13 1,

Conflict Authorisation has the meaning given in article 5 1,

Conflict Authorisation Terms has the meaning given in article 5 7,

Conflict Situation has the meaning given in article 5 1,

Controlling Interest means Shares conferring in the aggregate more than 50% of the total voting rights conferred by all the Shares in the capital of the Company for the time being in issue, and conferring the right to vote at all general meetings,

C Ordinary Shares has the meaning given by article 10 3,

C Shareholder means a holder of C Ordinary Shares,

D Ordinary Shares has the meaning given by article 12,

D Shareholder means a holder of D Ordinary Shares,

eligible director means a director who would be entitled to vote on the matter at a meeting of directors (but excluding any director whose vote is not to be counted in respect of the particular matter),

Employee Benefit Trust means any trust established by any Group Company which is considered an employees' share scheme pursuant to section 1166 of the Act,

Equity Share means the A Ordinary Shares, the B Ordinary Shares, the C Ordinary Shares and the D Ordinary Shares for the time being in issue as the context may require, and **Equity Shareholder** means a person who is registered as a holder of Equity Shares,

Excess Securities has the meaning given in article 12,

Fair Price means in relation to any Shares the price which the auditors of the Company (or if they decline to act such other independent reputable firm of share valuers nominated by the Directors) state in writing to be in their opinion the fair value of the Shares in question calculated by valuing the company as a whole on the assumption (if it is carrying on business as a going concern) that it will continue to do so and subject as follows

- (a) the Fair Price of the B Ordinary Shares shall be their par value or such lesser sum as shall be applicable in accordance with the foregoing,
- (b) the Fair Price of the D Ordinary Shares shall the sum of £1 or such lesser sum as shall be applicable in accordance with the foregoing,

having regard to the rights of the B Ordinary Shares and the D Ordinary Shares as set out in Article 12 2 1,

- (c) such fair value of the A Ordinary Shares shall be calculated as follows
 - (i) after deducting from such value of the Company the Fair Price of the B Ordinary Shares and D Ordinary Shares in order to derive a value for the A shares as a whole, and
 - (ii) if the A Ordinary shares being valued constitute a minority interest in the A Ordinary Share capital, then applying a discount of a maximum of 20%,
- (d) C Ordinary Shares shall be valued on the basis of the A Ordinary Shares and D Ordinary Shares into which they are convertible under Article 12 5

In stating the Fair Price the auditors (whose charges shall be borne by the Company) shall be considered to be acting as experts and not as arbitrators and their decision shall be final and binding on the parties

Family Trust means a trust (whether arising under a settlement, declaration of trust, testamentary disposition or on an intestacy) under which the only persons being (or capable

of being) beneficiaries are the individual beneficial owner of the Shares held in trust and/or his Privileged Relations, and no power of control over the voting powers conferred by such Shares is exercisable at any time by or subject to the consent of any person other than the trustees as trustees or such individual beneficial owner or his Privileged Relations,

Founder means Nicholas Robin Kent,

Group means the Company and each subsidiary for the time being of the Company and **Group Company** means any of them,

Group Conflict Authorisation has the meaning given in article 5 8,

Group Conflict Authorisation Terms has the meaning given in article 5 8,

holder in relation to Shares means the person whose name is entered in the register of members as the holder of the Shares or, in the case of a share in respect of which a Share warrant has been issued (and not cancelled), the person in possession of that warrant,

Interested Director has the meaning given in article 5 1,

Issue Price means in relation to any Share, the price at which the relevant Share was issued (being the total amount paid up or credited as paid up thereon, including any Share premium),

Leaver means a Relevant Individual who ceases to be an employee and/or director and/or consultant of the Company or any member of the Group and does not immediately become or continue to be an employee and/or director and/or consultant of the Company or any of its subsidiaries,

lien enforcement notice has the meaning given in article 13 4,

Listco has the meaning given to it in the definition of Listing,

Listing means

- (a) the admission of any part of the Company's share capital to
 - (i) the Official List of UKLA and the grant of permission for the same to be traded on the Main Market of the London Stock Exchange plc,
 - (ii) trading on AIM (being the market operated under that name by London Stock Exchange plc), or
 - (iii) trading on any recognised investment exchange (as defined by section 285 of the Financial Services and Markets Act 2000), or
- (b) the transfer of all or a majority of the Company's issued Equity Shares on terms open to all Equity Shareholders to a company (**Listco**) the share capital of which is admitted as aforesaid to the Official List, AIM or a recognised investment exchange where all or part of the consideration received by the Shareholders is an issue of new shares in the capital of Listco whether by way of scheme of amalgamation, arrangement, reverse take-over or other transaction,

member has the meaning given in section 112 of the Companies Act 2006,

Model Articles means the model articles prescribed by Schedule 1 of the Companies (Model Articles) Regulations 2008 (SI 2008/3229) as amended prior to the date of adoption of these articles,

Ordinary Shares means A Ordinary Shares and / or B Ordinary Shares and / or C Ordinary Shares and / or D Ordinary Shares as the context may require,

partly paid in relation to a Share means that part of that Share's nominal value or any premium at which it was issued has not been paid to the Company,

Privileged Relation means in relation to any Member, the Member's spouse or civil partner for the time being, parent, and all lineal descendants of that Member (including for this purpose any step-child, adopted child or illegitimate child of the Member or his lineal descendants) or any person who for the time being is married to or is the civil partner of any such lineal descendant but no lineal descendant may be a Privileged Relation whilst a minor,

Relevant Individual means an employee or director or consultant of any member of the Group (excluding the Founder),

Sale means either

- (a) the completion of an agreement for the purchase of all the Equity Shares to the extent not already owned by the buyer or persons connected to or acting in concert with the buyer, or the acceptance of an offer as a result of which the offeror becomes entitled or bound to acquire the remainder of such Shares in accordance with the Act or the Articles, or
- (b) the sale of all or a substantial part of the business carried on by the Group,

Share means a share in the Company,

Shareholder means a person who is the holder of one or more Shares,

Total Capitalisation means

- (a) on a Listing, the valuation placed upon all the issued Equity Shares as shown in a prospectus or listing particulars published in connection with such Listing less the gross amount of any new money raised by the Company from the subscription for new shares issued by the Company at the time of and in connection with such Listing,
- (b) on a Sale, the aggregate price paid for the issued Equity Shares or, as the case may be, the business and assets of the Company, on the assumption that all the issued Equity Shares are sold for the same price (on a share sale) (save to the extent otherwise provided by these articles) plus (on a share or business and assets sale) the cash value of any other sum (in cash or otherwise) received or receivable by the Equity Shareholders or, as the case may be, the Company which can reasonably be regarded as an addition to the price paid (whether or not paid at the time of the Sale) and to the extent that the Sale includes an element of deferred consideration its value shall be the present value of such deferred consideration

1 2 Words or expressions defined in the Model Articles and words or expressions defined in the Companies Acts shall bear the same meaning in these articles unless the context otherwise requires

- 1 3 A reference in these articles to an **article** is a reference to the relevant article of these articles unless expressly provided otherwise
- 1 4 Any reference to a statutory provision shall be deemed to include a reference to any re-enactment or modification thereof for the time being in force
- 1 5 Use of the singular includes the plural and vice versa
- 1 6 Use of any gender includes the other genders
- 1 7 Any phrase introduced by the terms "including", "include", "in particular" or any similar expression is illustrative only and does not limit the sense of the words preceding those terms
- 1 8 Headings shall not affect the interpretation of these articles

2 ADOPTION OF THE MODEL ARTICLES

- 2 1 The Model Articles shall, except in so far as they are excluded or modified by these articles, apply to the Company and together with these articles shall constitute the articles of the Company

3 DIRECTORS

Number of directors and their appointment

- 3 1 Unless otherwise determined by ordinary resolution, the number of directors (other than alternate directors who are not also directors) (shall not be subject to any maximum but shall not be less than two
- 3 2 Article 17(1) of the Model Articles shall be amended by the insertion, at the end of that article, of the words "provided that the appointment does not cause the number of directors in office for the time being (excluding alternate directors who are not also directors) to exceed any maximum number fixed or otherwise determined in accordance with these articles"

Unanimous decisions

- 3 3 Article 8(3) of the Model Articles shall not apply to the Company

Quorum for directors' meetings

- 3 4 Articles 11(2) and (3) of the Model Articles shall not apply to the Company
- 3 5 Subject to article 3 6, the quorum for the transaction of business at a meeting of directors is any two eligible directors one of whom shall be the Founder
- 3 6 For the purposes of any meeting (or part of a meeting) held pursuant to article 4 2 to authorise a director's conflict, if there is only one eligible director in office other than the conflicted director(s), the quorum for such meeting (or part of a meeting) shall be one eligible director

3 7 This article applies where the total number of directors for the time being is less than the quorum for directors' meetings Article 7(2) of the Model Articles shall not apply to the Company

3 7 1 If there is only one director, that director may appoint sufficient directors to make up a quorum or call a general meeting to do so

3 7 2 If there is more than one director

(i) a directors' meeting may take place, if it is called in accordance with the articles and at least two directors participate in it, with a view to appointing sufficient directors to make up a quorum or calling a general meeting to do so, and

(ii) if a directors' meeting is called but only one director attends at the appointed date and time to participate in it, that director may appoint sufficient directors to make up a quorum or call a general meeting to do so

Casting vote

3 8 If the numbers of votes for and against a proposal at a meeting of directors are equal, the Founder if chairing the meeting shall have a casting vote Article 13 of the Model Articles shall not apply to the Company

Appointment of director following last death or bankruptcy

3 9 Article 17(2) of the Model Articles shall not apply to the Company In any case where, as a result of death or bankruptcy, the Company has no Shareholders and no directors, the transmittee of the last Shareholder to have died or to have a bankruptcy order made against him (as the case may be) shall have the right, by notice in writing, to appoint a person who is willing and permitted to act to be a director

Termination of director's appointment

3 10 Without prejudice to article 18 of the Model Articles, any director may be removed from office (no matter how he was appointed) by notice in writing delivered to the office or tendered at a meeting of the directors and signed by any member or members holding Shares entitling such member or members to exercise a majority of the votes at any general meeting of the Company

4 TRANSACTIONS OR OTHER ARRANGEMENTS WITH THE COMPANY

4 1 Articles 14(1) to 14(4) inclusive of the Model Articles shall not apply to the Company

4 2 Subject to sections 177(5) and 177(6) and sections 182(5) and 182(6) of the Act and provided he has declared the nature and extent of his interest in accordance with the requirements of the Companies Acts, a director who is in any way, whether directly or indirectly, interested in an existing or proposed transaction or arrangement with the Company

4 2 1 may be a party to, or otherwise interested in, any transaction or arrangement with the Company or in which the Company is otherwise (directly or indirectly) interested,

- 4 2 2 shall be an eligible director for the purposes of any proposed decision of the directors (or committee of directors) in respect of such contract or proposed contract in which he is interested,
- 4 2 3 shall be entitled to vote at a meeting of directors (or of a committee of the directors) or participate in any unanimous decision, in respect of such contract or proposed contract in which he is interested,
- 4 2 4 may act by himself or his firm in a professional capacity for the Company (otherwise than as auditor) and he or his firm shall be entitled to remuneration for professional services as if he were not a director,
- 4 2 5 may be a director or other officer of, or employed by, or a party to a transaction or arrangement with, or otherwise interested in, any body corporate in which the Company is otherwise (directly or indirectly) interested, and
- 4 2 6 shall not, save as he may otherwise agree, be accountable to the Company for any benefit which he (or a person connected with him, as defined in section 252 of the Act) derives from any such contract, transaction or arrangement or from any such office or employment or from any interest in any such body corporate and no such contract, transaction or arrangement shall be liable to be avoided on the grounds of any such interest or benefit nor shall the receipt of any such remuneration or other benefit constitute a breach of his duty under section 176 of the Act

5 DIRECTORS' INTERESTS

- 5 1 For the purposes of section 175 of the Act, the directors shall have the power to authorise, on such terms and subject to such conditions as they may determine (a **Conflict Authorisation**), any matter proposed to them in accordance with these articles which otherwise might give rise to a situation (a **Conflict Situation**) in which a director (an **Interested Director**) would have a direct or indirect interest which conflicts, or may conflict, with the interests of the Company (including in relation to the exploitation of any property, information or opportunity, whether or not the Company could take advantage of it) Any Conflict Authorisation shall extend to any actual or possible conflict of interest which may reasonably be expected to arise out of the Conflict Situation so authorised
- 5 2 Where the directors give a Conflict Authorisation
 - 5 2 1 it shall be recorded in writing (but the authorisation shall be effective whether or not it is recorded), and
 - 5 2 2 the directors may revoke or vary the authority at any time but this will not affect anything done by the Interested Director in accordance with the authorisation before the revocation or variation
- 5 3 A Conflict Authorisation will be only effective if
 - 5 3 1 at the meeting of the directors at which the Conflict Situation is considered, any requirement as to quorum is met without counting the Interested Director, and
 - 5 3 2 it is agreed to without any Interested Director voting, or would have been agreed to if the votes of any Interested Director had not been counted
- 5 4 Subject to article 5 3 and the provisions of the Companies Acts, any matter proposed to the directors and any authorisation by the directors in relation to a Conflict Situation shall be

dealt with in the same way as any other matter may be proposed to and resolved upon by the directors

5 5 For the purposes of article 5 1, a conflict of interest includes a conflict of interest and duty and a conflict of duties

5 6 An Interested Director shall be obliged

5 6 1 to disclose to the other directors, as soon as reasonably practicable, the nature and extent of his interest in any Conflict Situation, and

5 6 2 to act in accordance with any conditions determined by the directors under article 5 1

5 7 Any conditions to which a Conflict Authorisation is made subject (**Conflict Authorisation Terms**) may include (without limitation to article 5 1) provision that

5 7 1 where the Interested Director obtains (other than in his capacity as a director of the Company or as its employee or agent or, if the directors so decide, in any other capacity that would otherwise oblige him to disclose it to the Company) information that is confidential to a third party, he will not be obliged to disclose it to the Company or to use it directly or indirectly for the benefit of the Company or in performing his duties as a director of the Company in circumstances where to do so would amount to a breach of a duty of confidence owed to that third party,

5 7 2 the Interested Director may (but shall be under no obligation to) absent himself from the discussion of, or the making of decisions relating to, the relevant matter (whether at any meeting of the directors or otherwise) and be excused from reviewing documents and information prepared by or for the directors to the extent that they relate to that matter, and

5 7 3 the Interested Director be excluded from the receipt of documents and information, the participation in discussion or the making of decisions (whether at directors' meetings or otherwise) related to the relevant matter,

and anything done (or omitted to be done) by the Interested Director in accordance with any such provision (or otherwise in accordance with any Conflict Authorisation Terms given under article 5 1) will not constitute a breach by him of his duties under sections 172 to 174 of the Act

5 8 Subject to article 5 9 but without prejudice to article 5 1 to article 5 7, authorisation is hereby given by the members of the Company for the time being on the terms of these articles to each director in respect of any Conflict Situation that arises because the director is also a Shareholder, investor or other participant in, lender to, guarantor, director, officer, manager or employee of, or otherwise in any other way interested or concerned in, any other body corporate within the Group (a **Group Conflict Authorisation**) The Conflict Authorisation Terms applicable to the Group Conflict Authorisation (**Group Conflict Authorisation Terms**) are automatically set by this article 5 8 so that the director concerned

5 8 1 is not obliged to disclose to the Company information that is confidential to a third party obtained by him (other than in his capacity as a director of the Company or as its employee or agent or, if the directors so decide, in any other capacity that would otherwise oblige him to disclose it to the Company) in any situation to which the Group Conflict Authorisation applies, nor to use any such information directly or indirectly for the benefit of the Company or in performing his duties as a

director of the Company, in circumstances where to do so would amount to a breach of a duty of confidence owed to that third party, and

5 8 2 may (but shall be under no obligation to)

(i) absent himself from the discussions of, or the making of decisions,

(ii) make arrangements not to receive documents and information,

relating to the Conflict Situation concerned,

and the Company will not treat anything done (or omitted to be done) by the director concerned in accordance with the Group Conflict Authorisation Terms as a breach by him of his duties under sections 172 to 174 of the Act

5 9 A Group Conflict Authorisation given or deemed given under article 5 8 may be revoked, varied or reduced in its scope or effect by special resolution

6 DIRECTORS' REMUNERATION AND EXPENSES

6 1 Article 20 of the Model Articles shall be amended by the insertion of the words "(including alternate directors) and the company secretary" before the words "properly incur"

7 ALTERNATE DIRECTORS

Appointment and removal of alternates

7 1 Any director (an **appointor**) may appoint as an alternate any other director, or any other person approved by resolution of the directors (an **alternate director**), to

7 1 1 exercise that director's powers, and

7 1 2 carry out that director's responsibilities,

in relation to the taking of decisions by the directors in the absence of the alternate's appointor

7 2 Any appointment or removal of an alternate must be effected by notice in writing to the Company signed by the appointor, or in any other manner approved by the directors

7 3 The notice must

7 3 1 identify the proposed alternate, and

7 3 2 in the case of a notice of appointment, contain a statement signed by the proposed alternate that the proposed alternate is willing to act as the alternate of the director giving the notice

Rights and responsibilities of alternate directors

7 4 An alternate director may act as alternate director to more than one director and has the same rights, in relation to any directors' meeting, meeting of a committee of directors or directors' written resolution, as the alternate's appointor

7 5 Except as the articles specify otherwise, alternate directors

7 5 1 are deemed for all purposes to be directors,

7 5 2 are liable for their own acts and omissions,

7 5 3 are subject to the same restrictions as their appointors, and

- 7 5 4 are not deemed to be agents of or for their appointors
- 7 6 A person who is an alternate director but not a director
 - 7 6 1 may be counted as participating for the purposes of determining whether a quorum is participating (but only if that person's appointor is not participating), and
 - 7 6 2 may participate in a unanimous decision of the directors (but only if his appointor is an eligible director in relation to that decision and does not participate)

No alternate may be counted as more than one director for such purposes

- 7 7 A director who is also an alternate director is entitled, in the absence of his appointor, to a separate vote on behalf of his appointor, in addition to his own vote on any decision of the directors (provided that his appointor is an eligible director in relation to that decision), but shall not count as more than one director for the purposes of determining whether a quorum is present
- 7 8 An alternate director is not entitled to receive any remuneration from the Company for serving as an alternate director except such part of the alternate's appointor's remuneration as the appointor may direct by notice in writing made to the Company

Termination of alternate directorship

- 7 9 An alternate director's appointment as an alternate terminates
 - 7 9 1 when the alternate's appointor revokes the appointment by notice to the Company in writing specifying when it is to terminate,
 - 7 9 2 on the occurrence in relation to the alternate of any event which, if it occurred in relation to the alternate's appointor, would result in the termination of the appointor's appointment as a director,
 - 7 9 3 on the death of the alternate's appointor, or
 - 7 9 4 when the alternate's appointor's appointment as a director terminates,
 - 7 9 5 by notice to the Company given by the co-directors of the director who appointed him

8 COMPANY SECRETARY

The directors may appoint any person who is willing to act as the secretary for such term, at such remuneration and upon such conditions as they may think fit and from time to time remove such person and, if the directors so decide, appoint a replacement, in each case by a decision of the directors

9 ISSUE OF SHARES

- 9 1 Articles 21(1) and 21(2) of the Model Articles shall not apply to the Company
- 9 2 The Company may pay any person a commission in consideration for that person
 - 9 2 1 subscribing, or agreeing to subscribe, for Shares, or
 - 9 2 2 procuring, or agreeing to procure, subscriptions for Shares
- 9 3 Any such commission may be paid
 - 9 3 1 in cash, or in fully paid or partly paid Shares or other securities, or partly in one way and partly in the other, and

9 3 2 in respect of a conditional or an absolute subscription

10 FURTHER ISSUES OF SHARES: AUTHORITY

10 1 Save to the extent authorised by these articles, or authorised from time to time by an ordinary resolution of the Shareholders, the directors shall not exercise any power to allot Shares or to grant rights to subscribe for, or to convert any security into, any Shares in the Company

10 2 Subject to the remaining provisions of this Article 10 and to Article 11, the directors are generally and unconditionally authorised, for the purposes of section 551 of the 2006 Act and generally, to exercise any power of the Company to

10 2 1 offer or allot,

10 2 2 grant rights to subscribe for or to convert any security into,

10 2 3 otherwise deal in, or dispose of,

any shares in the Company to any person, at any time and subject to any terms and conditions as the directors think proper

10 3 The authority referred to in Article 10 2

10 3 1 shall only apply insofar as the Company has not renewed, waived or revoked it by ordinary resolution, and

10 3 2 may only be exercised for a period of five years commencing on the date on which these Articles are adopted, save that the directors may make an offer or agreement which would, or might, require Shares to be allotted after the expiry of such authority, and the directors may allot Shares in pursuance of an offer or agreement as if such authority had not expired

10 3 3 shall be limited as follows

(a) to A Ordinary Shares of £ 0 10 each having a maximum nominal amount of £1,000,000,

(b) to B Ordinary Shares of £1 each having a maximum nominal amount of £10,000,000, and

(c) to C Ordinary Shares of £3 10 each having a maximum nominal amount of £14,377 80,

(d) such A Ordinary Shares and B Ordinary Shares to be allotted credited as fully paid pursuant a share exchange agreement dated 11th March 2010,

(e) such C Ordinary Shares to be allotted for cash upon the due exercise of options held by employees of the Group at the applicable option exercise price

such C Ordinary Shares to be convertible into A Ordinary Shares and D Ordinary Shares as provided in Article 12 5,

11 FURTHER ISSUES OF SHARES: PRE-EMPTION

11 1 In accordance with section 567(1) of the Act, sections 561 and 562 of the Act shall not apply to an allotment of equity securities (as defined in section 560(1) of the Act) made by the Company

- 11 2 Unless otherwise agreed by special resolution, if the Company proposes to allot any equity securities, those equity securities shall comprise A Ordinary Shares and (save in the case of any equity securities to be held by an Employee Benefit Trust or otherwise under an employees' share scheme) shall not be allotted to any person unless the Company has first offered them to all A Shareholders on the date of the offer on the same terms, and at the same price, as those equity securities are being offered to other persons on a pari passu and pro rata basis to the number of Shares held by those holders (as nearly as possible without involving fractions)
- 11 3 Such offer
- 11 3 1 shall be in writing, shall be open for acceptance for a period of 21 days from the date of the offer and shall give details of the number and subscription price of the relevant equity securities, and
- 11 3 2 may stipulate that any such Shareholder who wishes to subscribe for a number of equity securities in excess of the proportion to which he is entitled shall, in his acceptance, state the number of excess equity securities (**Excess Securities**) for which he wishes to subscribe
- 11 4 Any equity securities not accepted by Shareholders pursuant to the offer made to them in accordance with articles 11 2 and 11 3 shall be used for satisfying any requests for Excess Securities made pursuant to article 11 3 2. If there are insufficient Excess Securities to satisfy such requests, the Excess Securities shall be allotted to the applicants pro rata to the number of Shares held by the applicants immediately before the offer was made to Shareholders in accordance with article 11 2 (as nearly as possible without involving fractions or increasing the number of Excess Securities allotted to any Shareholder beyond that applied for by him). After that allotment, any Excess Securities remaining shall be offered to any other person as the directors may determine, at the same price and on the same terms as the offer to the Shareholders
- 11 5 Subject to articles 11 2, 11 3 and 11 4 and to section 551 of the Act, any equity securities shall be at the disposal of the directors who may allot, grant options over or otherwise dispose of them to any persons at such times and generally on such terms and conditions as they think proper
- 11 6 If any Shares shall be allotted to any employee, director, prospective employee or director the Company shall if so requested by such person enter into a joint election under section 431 of the Income Tax (Earnings and Pensions) Act 2003 in respect of such shares

12 CLASS RIGHTS

The rights and privileges attaching to the respective classes of Shares shall be as set out in the subsequent paragraphs of this article 12

12.1 Income

The profits of the Company which are available for distribution and which it is thought appropriate to distribute from time to time by way of dividend among the members of the Company shall be distributed as follows

- 12 1 1 among the holders of the A Ordinary Shares in proportion to the amounts for the time being paid up thereon disregarding any premium, and

12 1 2 among the holders of the C Ordinary Shares an amount equal to the proportion of such total distribution to which they would be entitled in respect of the number of A Ordinary Shares which would arise on the conversion of their C Ordinary Shares in accordance with Article 12 5 below, as if such conversion had taken place on or before the record date for such distribution

pari passu as if the A Ordinary Shares and C Ordinary Shares in issue from time to time constituted a single class of shares

The B Ordinary Shares and the D Ordinary Shares shall carry no entitlement to a distribution of such profits by way of dividend

12 2 Capital

On a return of assets on liquidation, a reduction of capital or otherwise, the surplus assets of the Company remaining after payment of its liabilities shall be applied in the following order of priority

12 2 1 first in paying

- (a) to each of the B Shareholders, an amount equal to the Issue Price paid for such Shares,
- (b) to each of the D Shareholders the sum of £1 per share, and
- (c) to each of the C Shareholders an amount equal to such Issue Price in respect of the number of D Ordinary Shares which would arise on the conversion of their C Ordinary Shares in accordance with Article 12 5 below, as if such conversion had taken place on or before the record date for such return of assets as aforesaid,

pari passu as if the B Ordinary Shares, C Ordinary Shares and D Ordinary Shares in issue from time to time constituted a single class of shares

12 2 2 second in paying any balance remaining after application of the foregoing as follows

- (a) to the A Shareholders in proportion to the amounts paid up on their A Ordinary Shares respectively disregarding any premium and
- (b) to the C Shareholders an amount equal to the proportion of such balance to which they would be entitled in respect of the number of A Ordinary Shares which would arise on the conversion of their C Ordinary Shares in accordance with Article 12 5 below, as if such conversion had taken place on or before the record date for such return of assets as aforesaid

pari passu as if the A Ordinary Shares, and C Ordinary Shares in issue from time to time constituted a single class of shares

12.3 Sale or Listing

12 3 1 In the event of a Sale, the proceeds of sale, being the Total Capitalisation, shall be distributed among the selling Shareholders in such amounts and in such priority as would be applicable on a return of capital in accordance with article 12 2

12 3 2 In the event of a Listing the same shall be effected in such manner as may be necessary to ensure that the value of the Total Capitalisation accrues to

Shareholders in such amounts and in such priority as would be applicable on a return of capital as aforesaid

12.4 *Voting rights attaching to Shares*

- 12 4 1 The Shareholders shall be entitled to receive notice of any general meeting of the Company
- 12 4 2 Each holder of A Ordinary Shares shall be entitled to attend either in person or by proxy any general meeting of the Company and each such holder present at any such meeting in person, or by proxy, or by a duly authorised representative shall be entitled on a show of hands to one vote and on a poll to one vote for every A Ordinary Share held by him
- 12 4 3 Neither the B Ordinary Shares nor the C Ordinary Shares nor the D Ordinary Shares shall carry a right to attend or vote at a general meeting of the Company

12.5 *Conversion of C Ordinary Shares*

- 12 5 1 Each C Ordinary Share shall convert into one A Ordinary Share and 30 D Ordinary Shares of £0 10 each on the first of the following to occur
 - (a) the date which is six months after the date of its issue,
 - (b) the date of a Sale or Listing,in each case without the need for any resolution of the Shareholders or the Directors, or
 - (c) such earlier date as the Directors may resolve
- 12 5 2 As soon as practicable before such conversion of his C Ordinary Shares, the C Ordinary Shareholder shall deliver to the Company certificates in relation to his holding of C Ordinary Shares and the Company shall deliver to him certificates for his A Ordinary Shares and D Ordinary Shares arising from such conversion
- 12 5 3 If where Article 12 5 1(b) applies the Sale or Listing does not for any reason complete or become effective, the C Ordinary Shareholders shall return the certificates for the A Ordinary Shares and D Ordinary Shares delivered to them under Article 12 5 2 and the Company shall return the certificates for the C Ordinary Shares delivered to it under that Article

12 6 *Variation of Class Rights*

Whenever the capital of the Company is divided into different classes of Shares the special rights attached to any class may be varied or abrogated, either whilst the Company is a going concern or during or in contemplation of a winding up, with the consent in writing of the holders of 75% of the issued Shares of that class or with the sanction of a special resolution passed at a separate meeting of the holders of the Shares of that class but not otherwise To every such separate meeting all the provisions of these articles relating to general meetings of the Company shall apply, with any necessary modifications, except that

- 12 6 1 the necessary quorum shall be two or more persons together holding or representing by proxy at least one third in nominal amount of the issued Shares of the class (but so that if at any adjourned meeting of such holders a quorum is not present those Shareholders who are present shall be a quorum),

12 6 2 any holder of Shares of the class present in person or by proxy may demand a poll, and

12 6 3 such holders of Shares of the class shall, on a poll, have one vote in respect of every Share of the class held by them respectively

13 LIEN AND FORFEITURE

Company's lien over Shares

13 1 The Company has a lien (the **Company's lien**) over every Share registered in the name of any Shareholder (whether solely or jointly with others and whether or not it is a fully paid Share) for all monies due (whether payable immediately or at some time in the future) to the Company from him or his estate, whether solely or jointly with any person (whether a Shareholder or not)

13 2 The Company's lien over a Share

13 2 1 takes priority over any third party's interest in that Share, and

13 2 2 extends to any dividend or other money payable by the Company in respect of that share and (if the lien is enforced and the Share is sold by the Company) the proceeds of sale of that Share

13 3 The directors may at any time decide that a Share which is or would otherwise be subject to the Company's lien shall not be subject to it, either wholly or in part

Enforcement of the Company's lien

13 4 Subject to the provisions of this Article, if

13 4 1 a lien enforcement notice has been given in respect of a Share, and

13 4 2 the person to whom the notice was given has failed to comply with it,

the Company may sell that Share in such manner as the directors decide

13 5 A lien enforcement notice

13 5 1 may only be given in respect of a Share which is subject to the Company's lien, in respect of which a sum is payable and the due date for payment of that sum has passed,

13 5 2 must specify the Share concerned,

13 5 3 must require payment of the sum payable within 14 days of the notice,

13 5 4 must be addressed either to the holder of the share or to a person entitled to it by reason of the holder's death, bankruptcy or otherwise, and

13 5 5 must state the Company's intention to sell the Share if the notice is not complied with

13 6 Where Shares are sold under this article

13 6 1 the directors may authorise any person to execute an instrument of transfer of the Shares to the purchaser or a person nominated by the purchaser, and

13 6 2 the transferee is not bound to see to the application of the consideration, and the transferee's title is not affected by any irregularity in or invalidity of the process leading to the sale

- 13 7 The net proceeds of any such sale (after payment of the costs of sale and any other costs of enforcing the lien) must be applied
- 13 7 1 first, in payment of so much of the sum for which the lien exists as was payable at the date of the lien enforcement notice,
- 13 7 2 second, to the person entitled to the Shares at the date of the sale, but only after the certificate for the Shares sold has been surrendered to the Company for cancellation or a suitable indemnity has been given for any lost certificates, and subject to a lien equivalent to the Company's lien over the Shares before the sale for any money payable in respect of the Shares after the date of the lien enforcement notice
- 13 8 A statutory declaration by a director or the company secretary that the declarant is a director or the company secretary and that a Share has been sold to satisfy the Company's lien on a specified date
- 13 8 1 is conclusive evidence of the facts stated in it as against all persons claiming to be entitled to the Share, and
- 13 8 2 subject to compliance with any other formalities of transfer required by the articles or by law, constitutes a good title to the Share

Call notices

- 13 9 Subject to the articles and the terms on which shares are allotted, the directors may send a notice (a **call notice**) to a member requiring the member to pay the Company a specified sum of money (a **call**) which is payable in respect of Shares which that member holds at the date when the directors decide to send the call notice
- 13 10 A call notice
- 13 10 1 may not require a member to pay a call which exceeds the total sum unpaid on that member's Shares (whether as to the Share's nominal value or any amount payable to the Company by way of premium),
- 13 10 2 must state when and how any call to which it relates it is to be paid, and
- 13 10 3 may permit or require the call to be paid by instalments
- 13 11 A member must comply with the requirements of a call notice, but no member is obliged to pay any call before 14 days have passed since the notice was sent
- 13 12 Before the Company has received any call due under a call notice the directors may
- 13 12 1 revoke it wholly or in part, or
- 13 12 2 specify a later time for payment than is specified in the notice,
- by a further notice in writing to the member in respect of whose Shares the call is made

Liability to pay calls

- 13 13 Liability to pay a call is not extinguished or transferred by transferring the Shares in respect of which it is required to be paid
- 13 14 Joint holders of a Share are jointly and severally liable to pay all calls in respect of that Share

13 15 Subject to the terms on which shares are allotted, the directors may, when issuing Shares, provide that call notices sent to the holders of those Shares may require them

13 15 1 to pay calls which are not the same, or

13 15 2 to pay calls at different times

When call notice need not be issued

13 16 A call notice need not be issued in respect of sums which are specified, in the terms on which a Share is issued, as being payable to the Company in respect of that Share (whether in respect of nominal value or premium)

13 16 1 on allotment,

13 16 2 on the occurrence of a particular event, or

13 16 3 on a date fixed by or in accordance with the terms of issue

13 17 But if the due date for payment of such a sum has passed and it has not been paid, the holder of the Share concerned is treated in all respects as having failed to comply with a call notice in respect of that sum, and is liable to the same consequences as regards the payment of interest and forfeiture

Failure to comply with call notice: automatic consequences

13 18 If a person is liable to pay a call and fails to do so by the call payment date

13 18 1 the directors may issue a notice of intended forfeiture to that person, and

13 18 2 until the call is paid, that person must pay the Company interest on the call from the call payment date at the relevant rate

13 19 For the purposes of this article

13 19 1 the **call payment date** is the time when the call notice states that a call is payable, unless the directors give a notice specifying a later date, in which case the call payment date is that later date,

13 19 2 the **relevant rate** is

(i) the rate fixed by the terms on which the Share in respect of which the call is due was allotted,

(ii) such other rate as was fixed in the call notice which required payment of the call, or has otherwise been determined by the directors, or

(iii) if no rate is fixed in either of these ways, 5% a year

13 20 The relevant rate must not exceed by more than 5 percentage points the base lending rate most recently set by the Monetary Policy Committee of the Bank of England in connection with its responsibilities under Part 2 of the Bank of England Act 1998

13 21 The directors may waive any obligation to pay interest on a call wholly or in part

Notice of intended forfeiture

13 22 A notice of intended forfeiture

13 22 1 may be sent in respect of any Share in respect of which a call has not been paid as required by a call notice,

- 13 22 2 must be sent to the holder of that Share or to a person entitled to it by reason of the holder's death, bankruptcy or otherwise,
- 13 22 3 must require payment of the call and any accrued interest by a date which is not less than 14 days after the date of the notice,
- 13 22 4 must state how the payment is to be made, and
- 13 22 5 must state that if the notice is not complied with, the shares in respect of which the call is payable will be liable to be forfeited

Directors' power to forfeit Shares

- 13 23 If a notice of intended forfeiture is not complied with before the date by which payment of the call is required in the notice of intended forfeiture, the directors may decide that any Share in respect of which it was given is forfeited, and the forfeiture is to include all dividends or other moneys payable in respect of the forfeited Shares and not paid before the forfeiture

Effect of forfeiture

- 13 24 Subject to the articles, the forfeiture of a Share extinguishes
 - 13 24 1 all interests in that Share, and all claims and demands against the Company in respect of it, and
 - 13 24 2 all other rights and liabilities incidental to the Share as between the person whose Share it was prior to the forfeiture and the Company
- 13 25 Any Share which is forfeited in accordance with the articles
 - 13 25 1 is deemed to have been forfeited when the directors decide that it is forfeited,
 - 13 25 2 is deemed to be the property of the Company, and
 - 13 25 3 may be sold, re-allotted or otherwise disposed of as the directors think fit
- 13 26 If a person's Shares have been forfeited
 - 13 26 1 the Company must send that person notice that forfeiture has occurred and record it in the register of members,
 - 13 26 2 that person ceases to be a member in respect of those Shares,
 - 13 26 3 that person must surrender the certificate for the Shares forfeited to the Company for cancellation,
 - 13 26 4 that person remains liable to the Company for all sums payable by that person under the articles at the date of forfeiture in respect of those Shares, including any interest (whether accrued before or after the date of forfeiture), and
 - 13 26 5 the directors may waive payment of such sums wholly or in part or enforce payment without any allowance for the value of the Shares at the time of forfeiture or for any consideration received on their disposal
- 13 27 At any time before the Company disposes of a forfeited Share, the directors may decide to cancel the forfeiture on payment of all calls and interest due in respect of it and on such other terms as they think fit

Procedure following forfeiture

- 13 28 If a forfeited Share is to be disposed of by being transferred, the Company may receive the consideration for the transfer and the directors may authorise any person to execute the instrument of transfer
- 13 29 A statutory declaration by a director [or the company secretary] that the declarant is a director [or the company secretary] and that a Share has been forfeited on a specified date
- 13 29 1 is conclusive evidence of the facts stated in it as against all persons claiming to be entitled to the Share, and
- 13 29 2 subject to compliance with any other formalities of transfer required by the articles or by law, constitutes a good title to the Share
- 13 30 A person to whom a forfeited Share is transferred is not bound to see to the application of the consideration (if any) nor is that person's title to the Share affected by any irregularity in or invalidity of the process leading to the forfeiture or transfer of the Share
- 13 31 If the Company sells a forfeited Share, the person who held it prior to its forfeiture is entitled to receive from the Company the proceeds of such sale, net of any commission, and excluding any amount which
- 13 31 1 was, or would have become, payable, and
- 13 31 2 had not, when that Share was forfeited, been paid by that person in respect of that Share,
- but no interest is payable to such a person in respect of such proceeds and the Company is not required to account for any money earned on them

Surrender of Shares

- 13 32 A member may surrender any Share
- in respect of which the directors may issue a notice of intended forfeiture,
- which the directors may forfeit, or
- which has been forfeited
- 13 33 The directors may accept the surrender of any such Share
- 13 34 The effect of surrender on a Share is the same as the effect of forfeiture on that Share
- 13 35 A Share which has been surrendered may be dealt with in the same way as a Share which has been forfeited

14 SHARE TRANSFERS – GENERAL

- 14 1 Shares may be transferred by means of an instrument of transfer in any usual form or any other form approved by the directors, which is executed by or on behalf of the transferor and, unless the Share is fully paid, the transferee
- 14 2 No fee may be charged for registering any instrument of transfer or other document relating to or affecting the title to any Share
- 14 3 The Company may retain any instrument of transfer which is registered

- 14 4 The transferor remains the holder of a Share until the transferee's name is entered in the register of members as holder of it
- 14 5 The Directors shall decline to register any transfer of any Share other than a transfer made pursuant to the provisions of Articles 15 to 19,
- 14 6 The Directors may also refuse to register a transfer of a Share on which the Company has a lien

15 PERMITTED TRANSFERS

Subject to the provisions of Article 19 1 any Ordinary Shares may at any time be transferred

- (i) to the Company subject to compliance with the provisions of the Act,
- (ii) to any employee of the Company with the consent in writing of the Directors,
- (iii) to the trustees of any Employee Benefit Trust,
- (iv) where the holder is the trustee of any Employee Benefit Trust to any employee or former employee of the Company or any subsidiary (or any other person to whom such shares are permitted to be transferred under the terms of any employee share option plan (including a plan adopted pursuant to Schedule 5 to the Income Tax (Earnings and Pensions) Act 2003),
- (v) to any other person with the approval of the Directors and the consent in writing of the Founder,
- (vi) in accordance with the provisions of Article 19, Article 20 and Article 22,
- (vii) subject to the approval of the Directors, to the trustees of any registered pension scheme nominated by that member (and for these purposes a pension scheme is a registered pension scheme at any time when, either through having applied for registration and been registered by HM Revenue & Customs, or through acquiring registered status by virtue of being an approved pension scheme on 5 April 2006, it is registered under Chapter 2 of Part 4 of the Finance Act 2004)

16 PRE-EMPTION

- 16 1 Except in the case of a transfer expressly authorised by Article 15, Article 17, Article 18, Article 20 or Article 21, no person shall be entitled to dispose of any interest in Shares other than by offering them for transfer in accordance with the provisions of this Article 16 The offer shall be made by the proposing transferor by notice in writing to the Company (a **"Transfer Notice"**) and may be in respect of all or some only of the Shares held by him (the **"Offer Shares"**)
- 16 2 The Transfer Notice shall specify the Offer Shares and (if applicable) the name of the person to whom it is proposed that the Offer Shares be transferred (the **"Proposed Transferee"**) and the price per share offered by the Proposed Transferee (if any) (the **"Prescribed Price"**) and shall constitute the Directors as the agents of the proposing transferor for the sale of the Offer Shares to other holders of Shares at the Prescribed Price The Transfer Notice may not be revoked unless the Directors otherwise agree In default of a Prescribed Price being agreed between the proposing transferor and the Proposed Transferee within 14 days, the Prescribed Price shall be the Fair Price of the

relevant Shares determined in accordance with the definition thereof in Article 1 except that the costs of the auditors in so acting shall be borne as they shall determine,

- 16 3 Within 14 days after the Transfer Notice is received by the Company, the Directors shall offer the Offer Shares at the Prescribed Price to the trustees of any Employee Benefit Trust ("**Trustees**") by notice in writing inviting the Trustees to apply in writing to the Directors within 14 days of receiving such notice for such maximum number of Offer Shares as they shall specify in such application,
- 16 4 If the Trustees shall within the said period of 14 days apply for all or some of the Offer Shares, the Directors shall allocate such Offer Shares to the Trustees and the Company shall immediately give notice of such allocation to the proposing transferor and to the Trustees and shall specify in such notice the place and time at which the sale of the Offer Shares shall be completed
- 16 5 If the Trustees decline to purchase all or any of the Offer Shares within 14 days of such offer being made, the Company shall offer at the Prescribed Price the Offer Shares (or balance thereof) to the Company by notice in writing inviting the company to apply in writing to the Company within 14 days of receiving such notice for such maximum number of Offer Shares as they shall specify in such application
- 16 6 If the Company shall within the said period of 14 days apply for all or some of the Offer Shares, the Directors shall allocate such Offer Shares to the Company and the Company shall immediately give notice of such allocation to the proposing transferor and the provisions of Article 16 4 shall apply to completion of the transfer of such Offer Shares,
- 16 7 If the Company declines to purchase all or any of the Offer Shares in accordance with Article 16 6 the Company shall offer at the Prescribed Price the Offer Shares (or balance thereof) to the Founder by notice in writing inviting the Founder to apply in writing to the Directors within 14 days of receiving such notice for such maximum number of Offer Shares as he shall specify in such application
- 16 8 If the Founder shall within the said period of 14 days apply for all or some of the Offer Shares the Directors shall allocate such Offer Shares to the Founder and the Company shall immediately give notice of such allocation to the proposing transferor and the Founder and the provisions of Article 16 4 shall apply to completion of the transfer of such Offer Shares
- 16 9 If the Founder declines to purchase all or any of the Offer Shares in accordance with Article 16 8, the Company shall offer the Offer Shares (or balance thereof) at the Prescribed Price to all the Directors (other than the Founder, the proposing transferor (if he is also a Director) or any other Director who is also a member and who has at such date served or is deemed to have served a Transfer Notice in respect of his Shares), by notice in writing inviting each of the Directors to notify the Company within 14 days of the Company issuing such notice whether he is willing to purchase any and, if so, what maximum number, of Offer Shares
- 16 10 On the expiry of the 14 day period referred to in paragraph 16 9 the Directors shall allocate the Offer Shares (or balance thereof) to those Directors who have applied to purchase Shares and if the number of Shares for which those Directors have applied exceeds the number available the allocation shall be made at the discretion of the Chairman but shall not in the case of any Director exceed the number of Offer Shares for which he has applied
- 16 11 The Chairman shall promptly give details of the allocation in writing to the proposing transferor and each Director who has stated his willingness to purchase shares and, within seven days after such details are given, the Directors to whom the allocation has been made

shall be bound to pay the purchase price for the Offer Shares allocated to them respectively and the proposing transferor shall be bound, on payment of the purchase price, to transfer the Offer Shares to the respective purchasers

- 16 12 Where more than one Director has stated his willingness to purchase Offer Shares and through no default of the proposing transferor any purchase is not duly completed, the Chairman shall immediately notify all the other Directors who have stated their willingness to purchase Offer Shares and if, within seven days of such notice being given, those other Directors shall not between them duly complete the purchase of the Shares in respect of which there has been default in completion the provisions of paragraph 16 13 shall apply
- 16 13 If, following the expiry of the 14 day period referred to in paragraph 16 10, any of the Offer Shares have not been allocated under paragraph 16 11 or if paragraph 16 12 applies, the Company shall offer at the Prescribed Price and on the terms as to completion as specified in paragraph 16 11 the remaining balance of the Offer Shares to the remaining members of the Company [who hold A Ordinary Shares] (other than the Directors, the proposing transferor or any other member who has at such date served or is deemed to have served a Transfer Notice in respect of his Shares) [and the provisions of paragraphs 16 10 to 16 12 shall apply mutatis mutandis except that where relevant references to Directors shall be construed as references to members] and so that in the case of competition such allocation shall be made to A Shareholders applying for the same in the proportion in which they respectively hold A Ordinary Shares provided that no such allocation shall exceed the number of shares which such Shareholder shall have expressed a willingness to buy
- 16 14 If, following the expiry of the 14 day period referred to in paragraph 16 13, any of the Offer Shares have not been allocated under paragraph 16 13, or if paragraph 16 12 applies, the Directors shall with the prior written approval of the Founder offer at the Prescribed Price and on the terms as to completion as specified in Article 16 11 the remaining balance of the Offer Shares to such third parties as the proposing transferor may direct and such offer if not accepted within 45 days of the offer being made shall be deemed to have been declined
- 16 15 If the Directors shall within 45 days of the offer in Article 16 14 being made find buyers ("**Buyers**"), in respect of all or any of the Offer Shares it shall give notice thereof to the proposing transferor and the Buyers shall be bound to complete the sale and purchase within 14 days of the end of such period of 45 days
- 16 16 If a member or other person entitled to transfer a Share at any time attempts to deal with or dispose of any interest in his Shares otherwise than in accordance with this Article or Articles 15 or 17, he shall be deemed immediately before the attempt to have served the Company with a Transfer Notice in respect of those Shares and the provisions of Article 18 3 shall apply to those shares
- 16 17 If in any case a proposing transferor, after having become bound to transfer any Shares to a purchaser, shall make default in transferring the shares, the Directors may authorise some person to execute on behalf of and as attorney for the proposing transferor any necessary transfers and may receive the purchase money and shall thereupon cause the name of the purchaser to be entered in the register as the holder of the Shares and hold the purchase money in trust for the proposing transferor The receipt of the Company for the purchase money shall be a good discharge to the purchaser and after the name of the purchaser has been entered in the register of members of the Company the validity of these transactions shall not be questioned by any person

16 18 The foregoing provisions of this Article 16 shall apply *mutatis mutandis* to B Ordinary Shares, C Ordinary Shares and D Ordinary Shares subject to the following modifications

16 18 1 such shares shall be offered as follows

- (a) first to the Company in accordance with Article 16 5
- (b) second to the Trustees in accordance with Article 16 3
- (c) third to A Shareholders in accordance with Article 16 13

and so shall not be offered to the Founder in accordance with Article 16 7 or to the Directors in accordance with Article 16 9, and

16 18 2 for the B ordinary Shares, the Prescribed Price shall be the Issue Price of such shares or where the Proposing Transferor is a Bad Leaver, then sum of £0 20 per share,

16 18 3 for the D Ordinary Shares, the Prescribed Price shall be £1 per share or where the Proposing Transferor is a Bad Leaver, then sum of £0 20 per share,

16 18 4 for the C Ordinary Shares, the Prescribed Price shall be the relevant proportions of that which would be applicable in accordance with the foregoing to the A Ordinary Shares and D Ordinary Shares which would arise on conversion of such C Ordinary Shares on the date of the relevant Transfer Notice

17 DECEASED SHAREHOLDERS

17 1 Where a shareholder other than the Founder (a "**Deceased Shareholder**") dies and his Shares in the Company are not transferred in accordance with Articles 15 or 16 before the end of the Relevant Period (as defined in paragraph 17 3 below), the Directors may, and on the application of any other member shall, by notice in writing addressed to the personal representatives of the Deceased Shareholder and served at his address appearing in the register of members, require that his personal representatives give a Transfer Notice in respect of his Shares and, if they fail to give a Transfer Notice within 30 days from the date of service of the notice by the Directors, or if the Deceased Shareholder has no personal representatives, a Transfer Notice shall be deemed to have been given 30 days after the date of service of the notice by the directors and the provisions of Article 19 3 shall apply to the shares PROVIDED THAT if pursuant to such Transfer Notice not all of the Shares of such Deceased Shareholder are in accordance with Articles 16 3 to 16 13 (inclusive) duly allocated to and purchased by one or more of the Trustees, the Company, or one or more Directors or holders of A Ordinary Shares, the Personal Representatives shall be at liberty thereafter to transfer for nil consideration any such Shares not so allocated and purchased to any person who is a beneficiary under the will of the Deceased Shareholder or who is entitled under any applicable inheritance laws (including the intestacy rules) to a share of the estate of the Deceased Shareholder

17 2 For the purpose of this Article 17 and any Transfer Notice given or deemed given pursuant thereto, the Prescribed Price for a Share shall be either

17 2 1 as the personal representatives of the Deceased Shareholder or the Proposed Transferee and the Directors may agree, or

17 2 2 in the absence of such agreement within 30 days from the date of service of the Transfer Notice or notice by the Directors (or such longer period as the personal representatives and the Directors may agree or, if there are no personal

representatives, as the Directors may decide) the Fair Price as at the beginning of the financial year of the Company during which the Transfer Notice is given or deemed to have been received by the Company

- 17 3 For the purposes of paragraph 17 1 the **"Relevant Period"** means the period of 12 months from the death of the Deceased Shareholder or, if probate is not granted in respect of the Deceased Shareholder's estate before the expiry of six months after his death, the period from his death until the expiry of six months from the date of the grant of probate or, if shorter, the period from his death until the expiry of 15 months from the date of his death

18 COMPULSORY TRANSFERS: EMPLOYEES

- 18 1 If a Relevant Individual becomes a Leaver otherwise than on his death, then such Relevant Individual (and any person (a "Relevant Holder") holding Shares who acquired such Shares ("Relevant Shares") directly or indirectly by means of a transfer by such Relevant Individual pursuant to the provisions of Article 15 or otherwise by means of rights held by such Relevant Individual, or otherwise holds such Shares on trust for or otherwise for the benefit of such Relevant Individual) shall be deemed to give a Transfer Notice in respect of

18 1 1 all Shares then registered in the name of such Relevant Individual or the Relevant Holder,

18 1 2 all Shares becoming registered in the name of such Relevant Individual or a Relevant Holder pursuant to any options or rights to acquire Shares granted prior to such cessation of employment,

- 18 2 Notwithstanding the provisions of Article 16, where any Transfer Notice is deemed given under Article 18 1 such Transfer Notice shall be irrevocable,

- 18 3 For the purpose of any Transfer Notice given or deemed given under Article 18 1 1 or 18 1 2,

18 3 1 the Prescribed Price in respect of A Ordinary Shares shall be as follows

- (a) if the Relevant Individual is a Bad Leaver,
 - (i) the Prescribed Price in respect of A Ordinary Shares held immediately following the date of adoption of these Articles shall be the lower of the Issue Price of such Shares, and the Fair Price thereof,
 - (ii) The Prescribed Price in respect of any A Ordinary Shares acquired at any time thereafter shall be the lower of the price paid for such shares by the Leaver or the Relevant Holder (as the case may be) and the Fair Price thereof
- (b) if the Relevant Individual is a Good Leaver, the Prescribed Price in respect of all A Ordinary Shares the subject thereof shall be the Fair Price

18 3 2 the Prescribed Price in respect of B Ordinary Shares shall be as follows

- (a) if the Relevant Individual is a Bad Leaver, the lower of (i) 20 pence per share and (ii) the Fair Price,
- (b) if the Relevant Individual is a Good Leaver, the Fair Price,

18 3 3 the Prescribed Price in respect of D Ordinary Shares shall be £1 per share or where the Proposing Transferor is a Bad Leaver, then sum of £0 20 per share,

18 3 4 the Prescribed Price in respect of C Ordinary Shares shall be the relevant proportions of that which would be applicable in accordance with the foregoing to the A Ordinary Shares and D Ordinary Shares which would arise on conversion of such C Ordinary Shares on the date of the relevant Transfer Notice

18 4 For the purposes of Article 18 3

"**Bad Leaver**" shall mean a Leaver who is not a Good Leaver,

"**Good Leaver**" shall mean a Relevant Individual who ceases to be an employee of the Company or any of its subsidiaries as a result of his retirement at normal retirement age in accordance with his contract of employment, or who is determined by the Board in its absolute discretion to be a Good Leaver

18 5 If a Transfer Notice is given by a Relevant Individual (or any Relevant Holder) in circumstances where a Transfer Notice has already been given or would otherwise have been deemed to have been given in accordance with these Articles, then such a Transfer Notice shall be of no effect to the extent that the deemed Transfer Notice shall apply

19 TRANSFERS – GENERAL POWERS

19 1 For the purposes of ensuring that a transfer of Shares is made in accordance with these Articles or that no circumstances have arisen whereby a Transfer Notice is required to be given, the Directors may from time to time require any member or the personal representatives of any Deceased Shareholder or the liquidator of any corporate member or any person named as transferee in any transfer lodged for registration to furnish to the Company such information and evidence as the Directors may think fit regarding any matter which they may deem relevant to such purpose Failing such information or evidence being furnished to the satisfaction of the Directors within a reasonable time after request the Directors shall be entitled to refuse to register the transfer in question or, if no transfer is in question, to require by notice in writing that a Transfer Notice be given in respect of any Shares concerned If no Transfer Notice is given within 30 days from the date of service of the notice by the Directors, a Transfer Notice shall be deemed to have been given in respect of those Shares 30 days after the date of service of the notice by the Directors and the provisions of paragraph 19 3 shall apply to those Shares

19 2 Any direction, whether by way of renunciation, nomination or otherwise, by a member entitled to an allotment of Shares, to the effect that such Shares or any of them be allotted or issued to some person other than himself shall for the purposes of these Articles be deemed to constitute a transfer of the Shares comprised in such direction and the provisions of this Article and Articles 15 and 16 shall apply accordingly

19 3 If a Transfer Notice is deemed to have been given in respect of Shares under Articles 16 16, 17 1 or 19 1, the provisions of Article 16 shall apply to those shares save that

19 3 1 except in the case of a Transfer Notice deemed to have been given under Article 17 1 the Prescribed Price shall be the Fair Price as at the beginning of the financial year of the Company during which the Transfer Notice is deemed to have been given, and

19 3 2 the period of 14 days referred to in Article 16 3 shall run from the date on which the Prescribed Price is ascertained, and

19 3 3 Article 16 shall not apply to any Shares in respect of which a transfer in accordance with Article 15 has been lodged for registration before the Prescribed Price has been ascertained

20 TAG ALONG

20 1 If any Shareholder, either on his own or acting in concert (within the meaning of the edition of the City Code on Take-overs and Mergers current at the relevant time) with one or more other Shareholders, proposes to sell or transfer, in one or a series of related transactions, A Ordinary Shares (either in conjunction with a sale of B Ordinary Shares or D Ordinary Shares or not) equal to or greater than 50% of all the A Ordinary Shares in issue at the time of the proposed sale or transfer (or which would be in issue if all C Ordinary Shares then in issue were converted into A Ordinary Shares and D Ordinary Shares in accordance with Article 12 5) (such Shareholder or Shareholders being the **Proposing Seller**) to any person other than another Shareholder, the Proposing Seller shall procure, before the sale or transfer, that

20 1 1 (taking account of any such related transaction) the terms of such sale comply with Article 12 3, and

20 1 2 each proposed purchaser makes a bona fide written offer (**Tag Along Offer**) to each of the other Shareholders (each a **Non-selling Party**) as follows

- (a) to buy that proportion of each Non-selling Party's A Ordinary Shares (including any A Ordinary Shares arising on a conversion of C Ordinary Shares which takes effect on or before completion of such sale by the Proposing Seller) which is equal to the proportion represented by the number of A Ordinary Shares which the Proposing Seller is proposing to sell as against all the A Ordinary Shares held by the Proposing Seller at the time of the proposed sale or transfer,
- (b) (where the Proposing Seller proposes to sell or transfer any B Ordinary Shares or D Ordinary Shares in the same or a related transaction) to buy that proportion of each Non-selling Party's B Ordinary Shares or D Ordinary Shares (including any D Ordinary Shares arising on a conversion of C Ordinary Shares which takes effect on or before completion of such sale by the Proposing Seller) which is equal to the proportion represented by the number of B Ordinary Shares or D Ordinary Shares which the Proposing Seller is proposing to sell as against all the B Ordinary Shares and D Ordinary Shares held by the Proposing Seller at the time of the proposed sale or transfer
- (c) in each case for a consideration per Share which complies with article 9 5 taking account of the price per Share applying to the proposed sale by the Proposing Seller of his Shares (and that on any related transaction as aforesaid), and
- (d) (subject always to Article 12 3) otherwise on the same terms and conditions as those applicable to such sale by the Proposing Seller

20 2 Each Tag Along Offer shall specify

- 20 2 1 the price for the relevant Shares and any other principal terms and conditions of the proposed sale or transfer, and
- 20 2 2 the period (being not less than 25 days from service of the Tag Along Offer) for acceptance by each Non-selling Party
- 20 3 If within the period specified in each Tag Along Offer any Non-selling Party accepts the offer in writing, then the Proposing Seller shall procure that the sale by that Non-selling Party of his relevant Shares shall proceed on the same financial terms (including price per Share) and at the same time as the sale of the Proposing Seller's Shares
- 20 4 Any acceptance by a Non-selling Party of a Tag Along Offer shall be irrevocable, but no sale of that Non-selling Party's Shares pursuant to its acceptance shall take place unless and until the sale of the Proposing Seller's Shares is completed
- 21 CHANGE OF CONTROL – DRAG ALONG RIGHT**
 - 21 1 The provisions of this article 21 shall apply if the holders of 75% or more of the A Ordinary Shares (or which would be in issue if all C Ordinary Shares then in issue were converted into A Ordinary Shares and D Ordinary Shares in accordance with Article 12 5) (each a **Selling Shareholder**) propose to sell to any person other than another Shareholder all the A Ordinary Shares and all the B Ordinary Shares and D Ordinary Shares held by them at the time of the proposed sale (including for the avoidance of doubt any such shares which would be held by them if all C Ordinary Shares then held by them were converted into A Ordinary Shares and D Ordinary Shares in accordance with Article 12 5) (**Sale Shares**) for a consideration which complies with Article 12 3 and otherwise as part of a bona fide arms' length transaction
 - 21 2 The Selling Shareholder or Shareholders may (but shall not be obliged to) give to the Company not less than 25 days' prior written notice of that proposed sale or transfer That notice (**Sale Notice**) will include details of the Sale Shares and the proposed price per Sale Share to be paid by the proposed buyer (**Proposed Buyer**), details of the Proposed Buyer and the place, date and time of completion of the proposed purchase being a date not less than 25 days from service of the Sale Notice (the **Drag Along Completion**) Any Sale Notice received by the Company less than 25 days before the proposed date of the Drag Along Completion shall be ineffective
 - 21 3 Immediately upon receipt of a Sale Notice, the Company shall give notice in writing (**Drag Along Notice**) to each of the Shareholders (other than the Selling Shareholder) giving the details contained in the Sale Notice and requiring each of them to sell to the Proposed Buyer at the Drag Along Completion all Shares held by them, provided that the Selling Shareholder may withdraw a Sale Notice at any time prior to the Drag Along Completion by written notice to the Company to that effect and, on service of that notice, each Drag Along Notice shall no longer be binding and shall cease to have any effect
 - 21 4 Each Shareholder who is given a Drag Along Notice shall, in the event of the proposed sale or transfer proceeding, sell (or procure the sale of) all the Shares referred to in his Drag Along Notice to the Proposed Buyer on the Drag Along Completion for a consideration per Share which complies with Article 12 3 taking account of
 - 21 4 1 the highest price per A Ordinary Share proposed by the Proposed Buyer, or, if higher, at which A Ordinary Shares have been purchased by the Proposed Buyer or any person acting in concert with the Proposed Buyer during the period of six months prior to the date of the Sale Notice

- 21 4 2 the aggregate consideration proposed to be received by the selling Shareholders or previously received by any of them (or any person acting in concert as aforesaid) on any such purchase by the Proposed Buyer,
- and otherwise (subject always to Article 12 3) on terms no less favourable than those applicable to the sale of Shares by the Selling Shareholder, and so that (for the avoidance of doubt)
- 21 4 3 where the Selling Shareholders in accordance with this Article 21 require other Shareholders to sell their Shares, then for the purposes of Article 9 4 as applied under Article 12 3 there shall be taken into account such aggregate consideration as aforesaid, and
- 21 4 4 the Selling Shareholders shall be entitled to require other Shareholders to sell their Shares in accordance with this Article 21 notwithstanding that due to the operation of Articles 12 3, such other Shareholders are entitled to receive a lower price per Share than the Selling Shareholders receive or are entitled to receive for the sale of their Sale Shares to the Proposed Buyer
- 21 5 If any of the Shareholders (each a **Defaulting Shareholder**) shall fail to comply with the terms of article 21 3 in any respect
- 21 5 1 the Company shall be constituted the agent of each Defaulting Shareholder for the sale of his Shares (together with all rights then attached to those Shares) referred to in his Drag Along Notice in accordance with that notice,
- 21 5 2 the board may authorise a director to execute and deliver on behalf of each Defaulting Shareholder the necessary transfers,
- 21 5 3 the Company may receive the purchase money in trust for each Defaulting Shareholder and cause the Proposed Buyer to be registered as the holder of such Shares,
- 21 5 4 the receipt by the Company of the purchase money pursuant to those transfers shall constitute a good and valid discharge to the Proposed Buyer (who shall not be bound to see to the application of those monies),
- 21 5 5 after the Proposed Buyer has been registered in purported exercise of the powers in this article 21 5, the validity of the proceedings shall not be questioned by any person, and
- 21 5 6 the Company shall not pay the purchase monies to a Defaulting Shareholder until he shall, in respect of the Shares subject to the Drag Along Notice, have delivered a share certificate or a suitable indemnity and the necessary transfers to the Company
- 21 6 The expression **price per Sale Share** used in articles 21 2 and 21 4 shall be deemed to include an amount equal to the relevant proportions of any other consideration (in cash or otherwise) received or receivable by the holders of the Shares in question which, having regard to the substance of the transaction as a whole, can reasonably be regarded as an addition to the price paid or payable for the specified Shares, and in the event of disagreement, the calculation of the price shall be referred to a chartered accountant or other expert (acting as an expert and not as arbitrator) nominated by the parties concerned (or in the event of disagreement as to nomination, appointed by the President for the time

being of the Institute of Chartered Accountants in England and Wales) whose decision shall, in the absence of fraud or manifest error, be final and binding

22 TRANSFER RESTRICTION BUSINESS AND ASSETS

No sale or transfer of the whole or substantially the whole of the business and assets of the Company shall be permitted without the prior consent in writing of the Founder

23 TRANSMISSION OF SHARES

23 1 Article 27(3) of the Model Articles shall be amended by the insertion of the words “, subject to article 17(2),” after the word “But”

23 2 Article 29 of the Model Articles shall be amended by the insertion of the words “, or the name of any person(s) named as the transferee(s) in an instrument executed under article 27(2),” after the words “the transmittee’s name”

24 CONSOLIDATION OF SHARES

24 1 This article applies where

24 1 1 there has been a consolidation or division of Shares, and

24 1 2 as a result, members are entitled to fractions of Shares

24 2 The directors may

24 2 1 sell the Shares representing the fractions to any person including the Company for the best price reasonably obtainable,

24 2 2 authorise any person to execute an instrument of transfer of the Shares to the purchaser or a person nominated by the purchaser, and

24 2 3 distribute the net proceeds of sale in due proportion among the holders of the Shares

24 3 Where any holder’s entitlement to a portion of the proceeds of sale amounts to less than a minimum figure determined by the directors, that member’s portion may be distributed to an organisation which is a charity for the purposes of the law of England and Wales, Scotland or Northern Ireland

24 4 The person to whom the Shares are transferred is not obliged to ensure that any purchase money is received by the person entitled to the relevant fractions

24 5 The transferee’s title to the Shares is not affected by any irregularity in or invalidity of the process leading to their sale

25 DISTRIBUTIONS AND CALCULATION OF DIVIDENDS

Calculation of dividends

25 1 Except as otherwise provided by the articles or the rights attached to Shares, all dividends must be

25 1 1 declared and paid according to the amounts paid up on the Shares on which the dividend is paid, and

25 1 2 apportioned and paid proportionately to the amounts paid up on the Shares during any portion or portions of the period in respect of which the dividend is paid

- 25 2 If any Share is issued on terms providing that it ranks for dividend as from a particular date, that Share ranks for dividend accordingly
- 25 3 For the purposes of calculating dividends, no account is to be taken of any amount which has been paid up on a Share in advance of the due date for payment of that amount

Deductions from distributions in respect of sums owed to the Company

- 25 4 If
- 25 4 1 a Share is subject to the Company's lien, and
- 25 4 2 the directors are entitled to issue a lien enforcement notice in respect of it,
- they may, instead of issuing a lien enforcement notice, deduct from any dividend or other sum payable in respect of the Share any sum of money which is payable to the Company in respect of that Share to the extent that they are entitled to require payment under a lien enforcement notice
- 25 5 Money so deducted must be used to pay any of the sums payable in respect of that Share
- 25 6 The Company must notify the distribution recipient in writing of
- 25 6 1 the fact and amount of any such deduction,
- 25 6 2 any non-payment of a dividend or other sum payable in respect of a Share resulting from any such deduction, and
- 25 6 3 how the money deducted has been applied

26 PROCEEDINGS AT GENERAL MEETINGS

Sole Shareholder

- 26 1 If and for so long as the Company has only one member that member present in person or by proxy or, where that member is a corporation, its duly authorised representative shall be a quorum at any general meeting of the Company or of the holder of any class of Shares
- Article 38 of the Model Articles shall be modified accordingly

No voting of Shares on which money owed to Company

- 26 2 No voting rights attached to a Share may be exercised at any general meeting, at any adjournment of it, or on any poll called at or in relation to it, unless all amounts payable to the Company in respect of that Share have been paid

Class meetings

- 26 3 The provisions of the articles relating to general meetings apply, with any necessary modifications, to meetings of the holders of any class of Shares